

FINANCIAL ACCOUNTING AND REPORTING

The purpose of this regulation is to provide guidelines for financial accounting and reporting of all school funds. The Department of Business and Financial Services will provide further instruction and best practices for the appropriate management, reporting, training, tracking, and collecting of all school funds.

A. Definitions

1. Accounts receivable. Amounts owed to Loudoun County Public Schools (LCPS) by outside parties, grantors, parents, and current or former employees. Outside parties include customers for whom LCPS has provided goods or services or have agreed to reimburse LCPS for incurred costs. In addition, accounts receivable include amounts owed to LCPS by grantor organizations under grant agreements.
2. Account Manager/Designee. An account manager is an officially appointed individual who directs and is responsible for a program's fiscal management. A designee is any person acting on behalf of the account manager.
3. Encumbrance. Encumbrances are the recognition of commitments related to unfulfilled contracts, which will subsequently be recognized as expenditures when goods and services are received.

B Accounts Receivable.

1. The Department of Business and Financial Services provides general billing services for all LCPS departments.
2. Schools and specific departments may utilize separate tracking systems to manage their accounts receivables.
3. Oversight and guidance of all accounts receivables are provided by the Department of Business and Financial Services.
4. Invoicing Customers.
 - a. Departments that need to invoice external customers for products or services rendered should provide the required information monthly by the 7th of the following month, including:
 - (i) The taxpayer or business name
 - (ii) Description of the service or goods
 - (iii) Amount owed
 - (iv) Date of the service

FINANCIAL ACCOUNTING AND REPORTING

- (v) General ledger account code
 - (vi) Driver's license/social security/federal tax identification number
 - (vii) Current location address
 - (viii) Telephone number
 - (ix) Corporate office name
 - (x) Contact name
 - (xi) Professional title
 - (xii) E-mail address
- b. Payments received by all LCPS departments must be submitted to the Accounting Division on the day received unless specific arrangements otherwise have been approved by the Department of Business and Financial Services.
- c. Adjustments to customer accounts need to be approved by the appropriate department supervisor or account manager.
5. Collection Activities.
- a. The Department of Business and Financial Services is responsible for collection efforts for current and past due accounts. The Department of Business and Financial Services works with all LCPS departments to ensure the timely collection of receivables through invoicing and collection efforts, including collection agencies.
- b. Collection procedures for delinquent accounts will include notifications of late payments and suspension of further credit until accounts are made current. In addition, these procedures include communication protocols such as reminders at regular intervals and a business cycle for declaring accounts receivable uncollectible.
- c. The Department of Business and Financial Services will determine if any accounts receivable qualifies as uncollectible and will coordinate the collection efforts.
- d. LCPS has established three options for past due balances:
- (i) Payment in full
 - (ii) 3-Month Payment Plan - 3 equal payments
 - (iii) 6-Month Payment Plan - 6 equal payments

FINANCIAL ACCOUNTING AND REPORTING

e. After all collection efforts have been exhausted, LCPS will pursue further action.

6. Returned Checks.

a. LCPS will assess a \$35 returned check fee for any payments made to schools or departments. All other situations need to consult with the Executive Director of Financial Services.

7. Amounts Owed LCPS by Active Employees.

a. The Department of Business and Financial Services is authorized to deduct amounts owed LCPS by active employees through payroll deduction when permitted by federal and state regulations.

8. Writing Off Uncollectible Accounts.

- a. The Department of Business and Financial Services shall work with LCPS departments to review their uncollectible accounts receivables and recommend the account be written off or seek legal action based on the facts and circumstances.
- b. All accounts determined uncollectible will be written off unless otherwise provided for under law or by written agreement.
- c. Declaring an uncollectible receivable shall not preclude the Department of Business and Financial Services from seeking collection through legal action.

C. Encumbrance. LCPS uses encumbrance accounting to reserve funding for contracts and other expenditure commitments.

1. Encumbering sets aside funds for a particular purchase before the order is placed. An order may not be placed with a vendor until the funds have been encumbered, with the exception of purchases made with the purchase card.

2. A purchase order documents the encumbrance of funds for a specific purchase and a specific period of time. The amount encumbered depends on the amount of the contract.

3. At the end of the fiscal year, encumbrances represent the remaining obligations made in the current year that will be paid for in the succeeding year upon delivery of the goods or services. Encumbrances may roll from one fiscal year to the next fiscal year and are limited to their intended purpose. Purchase orders for specified

FINANCIAL ACCOUNTING AND REPORTING

projects where installment payments are made throughout the project term, orders with a long lead time, or orders where goods have not yet been received may roll over for more than one fiscal year.

4. The Division of Procurement and Risk Management, in coordination with Account Managers, will review all encumbered funds as part of the year-end closing process and liquidate encumbrances that should not be carried over to the next fiscal year.

Adopted: 06/28/21

Current Revision: 09/16/24

Legal Refs: Code of Virginia, 1950, as amended, §§ [22.1-90](#), [22.1-115](#), [8.01-27.1](#);